Quarterly Results of Operations

Certain quarterly financial information for the years 2019 and 2018 are set forth below. Such information is derived from our unaudited Consolidated Financial Statements, prepared on a basis consistent with the Consolidated Financial Statements that include, in our opinion, all normal adjustments necessary for a fair statement of the interim information set forth therein. Operating results for any quarter are not necessarily indicative of results for any future period. In addition, in view of the significant volatility we have experienced in recent years, the increasingly competitive nature of the markets in which we operate, the changes in products mix and the currency effects of changes in the composition of sales and production among different geographic regions, we believe that period-to-period comparisons of our operating results should not be relied upon as an indication of future performance.

Our quarterly and annual operating results are also affected by a wide variety of other factors that could materially and adversely affect revenues and profitability or lead to significant variability of operating results, please see "Item 3. Key Information — Risk Factors — Risks Related to Our Operations". As only a portion of our expenses varies with our revenues, there can be no assurance that we will be able to reduce costs promptly or adequately in relation to revenue declines to compensate for the effect of any such factors. As a result, unfavorable changes in the above or other factors have in the past and may in the future adversely affect our operating results. Quarterly results have also been and may be expected to continue to be substantially affected by the cyclical nature of the semiconductor and electronic systems industries, the speed of some process and manufacturing technology developments, market demand for existing products, the timing and success of new product introductions and the levels of provisions and other unusual charges incurred. Certain additions of our quarterly results will not total our annual results due to rounding.

Net revenues

	Three Months Ended			% Variation	
	December 31, 2019	September 29, 2019	December 31, 2018	Sequential	Year-Over-Year
	(Unaudited, in millions)				
Net sales	$ 2,750	$ 2,547	$ 2,633	8.0%	4.5%
Other revenues	4	6	15	(45.0)	(77.4)
Net revenues	**$ 2,754**	**$ 2,553**	**$ 2,648**	**7.9%**	**4.0%**

Our fourth quarter 2019 net revenues amounted to $2,754 million, registering a sequential increase of 7.9%, 290 basis points above the mid-point of our guidance, with all product groups contributing to the growth. The sequential increase resulted from higher volumes of approximately 7% and an increase of approximately 1% in average selling prices, the latter entirely due to product mix, while selling prices remained substantially stable.

On a year-over-year basis, our net revenues increased by 4.0%. This increase was entirely due to an increase of approximately 6% in average selling prices, partially offset by an approximate 2% decrease in volumes. The average selling prices increase was entirely driven by improved product mix of approximately 9%, partially offset by lower selling prices of approximately 3%.

Net revenues by product group

	Three Months Ended			% Variation	
	December 31, 2019	September 29, 2019	December 31, 2018	Sequential	Year-Over-Year
	(Unaudited, in millions)				
Automotive and Discrete Group (ADG)	$ 924	$ 894	$ 967	3.3%	(4.5)%
Analog, MEMS and Sensors Group (AMS)	1,085	968	988	12.1	9.9
Microcontrollers and Digital ICs Group (MDG)	742	688	689	7.9	7.6
Others	3	3	4	—	—
Total consolidated net revenues	**$ 2,754**	**$ 2,553**	**$ 2,648**	**7.9%**	**4.0%**